



Next Generation of Policy Frameworks and Modeling

WEEK 2 • JUNE 15-19, 2026

DynareJulia and FPAS Mark II:

Forecasting, Scenario Building, and Risk Analysis

DAY 3 • Wednesday, June 17 — Taxonomy & Risks

The full universe of scenarios, dark corners, and least-regrets decision-making.



Week 2 at a Glance

June 15-19, 2026 — A full policy cycle compressed into five days

DAY 1

Mon · Jun 15

Current Conditions

Data update, weekly briefings, where-is-the-economy-now workflow.

DAY 2

Tue · Jun 16

Market Reference & Case A/B

Scenario construction: market reference, Case A and Case B narratives.

DAY 3

Wed · Jun 17

Taxonomy & Risks

Full taxonomy of scenarios, dark corners, risk assessment.

DAY 4

Thu · Jun 18

Trade-offs & DynareJulia

Policy trade-off analysis and DynareJulia implementation.

DAY 5

Fri · Jun 19

MPR & Communication

Drafting the MPR, Python pipelines, transparency and Board communication.



DAY 3 • WEDNESDAY, JUNE 17

Beyond two illustrative cases

Case A and Case B are illustrations — the real discussion is the full Taxonomy

THE ILLUSTRATIVE

Case A & Case B scenarios

- Published in the Monetary Policy Report for communication
- Two paths — higher (Case A) and lower (Case B) than markets
- Almost randomly selected from the broader Taxonomy
- NOT most-likely, NOT probability-weighted, NOT Board-favored

THE FULL UNIVERSE

Taxonomy of Scenarios

- Comprehensive, structured list of all policy-relevant risks
- Organized by type: demand vs supply, Case A vs Case B
- Describes impact on inflation, activity, and implied policy
- Updated every quarter — reflects what the Board is actually worried about



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Taxonomy Structure

Four quadrants organized by demand/supply × expansionary/contractionary

DEMAND

What shifts aggregate demand?

SUPPLY

What shifts aggregate supply?

CASE A-TYPE	CASE B-TYPE
Expansionary Demand <i>Demand rises faster than supply → rising inflation</i> Output ↑ Inflation ↑ Response: higher policy rate path to anchor inflation expectations.	Contractionary Demand <i>Demand rises less than supply → falling inflation</i> Output ↓ Inflation ↓ Response: lower policy rate path. Risk of effective lower bound and low-inflation trap.
Contractionary Supply <i>Nasty stagflationary shocks</i> Output ↓ Inflation ↑ Response: aggressive upward path for the rate. Short-run inflation/activity trade-off.	Expansionary Supply <i>A policymaker's dream — if sustained</i> Output ↑ Inflation ↓ Response: lower rates, higher growth. Risky if extrapolated as permanent.



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Armenia Q1 2026 Taxonomy — Case A risks

What the CBA is actually worried about on the upside

EXPANSIONARY DEMAND

Demand running ahead of supply

- Growth above long-term potential, concentrated in consumption-driven sectors
- Accumulated household savings and continued credit growth
- Health insurance & pension spending exceeding plan
- Strong external demand for services (tourism, IT, finance)
- Sticky core inflation becoming broad-based across food and services
- Possible easing of regional geopolitical tensions accelerating capital inflows

CONTRACTIONARY SUPPLY

Supply shocks pushing inflation up

- Middle East escalation → oil prices at \$90–100/bbl
- Disrupted Iran transit route → import cost pressures
- Russia's role in imports → limited logistics diversification
- Estimated +1.2 to +1.7pp primary inflation impact in Armenia
- Global rates higher for longer → upward pressure on EM neutral rates
- Country risk premium could rise if regional tensions escalate



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Armenia Q1 2026 Taxonomy — Case B risks

What the CBA is actually worried about on the downside

CONTRACTIONARY DEMAND

Weak global and domestic demand

- Eurozone and China structurally weak — sustained low inflation environment
- US asset overvaluation risks → potential rapid correction
- Real estate and construction adjustment → demand weakening in related sectors
- Concentrated sectoral growth + debt pockets → slowdown risks
- Weakening Russian demand → lower tourism, remittances
- Reduced country risk premium → lower fundamental neutral rate

EXPANSIONARY SUPPLY

Supply expansion pushing inflation down

- Russian migration policies tightening → increased labor supply in Armenia
- Lower seasonal outmigration → downward wage pressures
- Global trade reconfigurations amid protectionism
- China export-supporting policy → cheaper imports globally
- Productivity gains from high-skilled labor integration since 2022
- Digital platforms improving job-worker matching → lower natural rate



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Dark Corners

The regions of policy space where mistakes are non-linearly costly

LOW-INFLATION TRAP

Demand consistently below supply. Policy rate hits the effective lower bound. Inflation expectations drift down and become sticky.

Japan 1990s–2010s, Eurozone 2014–2019

DE-ANCHORED EXPECTATIONS

Supply shocks persist, credibility weakens, wage-price spiral takes hold. Reversing requires aggressive, costly tightening.

1970s advanced economies, EMs in currency crises

FINANCIAL INSTABILITY

Excess leverage, overvalued assets, or fragile balance sheets amplify shocks. A small tightening triggers a disorderly correction.

GFC 2008, regional bank stress 2023

The Taxonomy's job: keep the Board aware of drifts toward any of these corners.



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Least-regrets decision-making

Ask: which mistake would be most costly? Then design policy to minimize THAT loss.

TRADITIONAL APPROACH

Expected-loss minimization

- Build a probability-weighted forecast
- Minimize expected deviation from target
- Treats all errors as symmetric
- Works when the world is close to linear
- Breaks down near dark corners where costs are non-linear

FPAS MARK II APPROACH

Least-regrets minimization

- Build a taxonomy of policy-relevant scenarios
- Ask: which scenario's materialization would be most costly?
- Lean against the most damaging possible outcome
- Weights errors asymmetrically near dark corners
- Explicitly accepts we don't know the true model



Day 3 Takeaways

1

Taxonomy is the real conversation

Case A and Case B are published illustrations. The Board's real discussion is the much broader taxonomy of risks.

2

Four quadrants, two axes

Supply vs demand, expansionary vs contractionary. Each quadrant has its own policy response and its own complications.

3

Dark corners justify asymmetry

Near low-inflation traps, de-anchoring, and financial instability, errors are non-linearly costly. Policy should lean against them.

4

Least regrets over expected loss

Identify the most damaging scenario. Design policy to minimize THAT loss. Accept that we don't know the true model.



Great Things are Coming.



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